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1 Introduction

This seminar paper covers the topic of intellectual property (IP) and their relevance for venture capital funding for a startup. It is divided into two parts with first part analyzing the topic with the support of academic reference. The second part includes a case study analyzing a startup where intellectual property holds great significance for venture capital.

Startups rely heavily on external funding for growth and indirectly their success in the market. Founders of a startup can attract investment in various ways including bootstrapping, bank loans, government loans, and venture capital investments. For this paper, we explore venture capital investments specifically and the role patents play. We explore whether or not they can be used by startups to attract venture capital investments, further study if there are any limitations of this approach.

An EY report (2025) highlights the financing challenges faced by startups in Germany by noting a 12% decrease in deals in financing rounds to raise capital funds. It is important to note that this decrease occurs for a third consecutive year, highlighting a downward trend. From 1,160 deals in 2021 there were only 755 deals recorded in 2024.

Venture Capitalists play a critical role for startups. They allow startups to explore other opportunities to innovate and provide the necessary financial support to help them grow (Luukkonen et al., 2013).